

LNG SnP report - January & February

Mar 3, 2025

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Market reflections

The new year began with renewed interest in LNG vessel sales. The first two months have been active with rumors and movements; two vessels have found new owners, while one has been sent to the breakers. Notably, a substantial number of vessels are currently under consideration, indicating a robust pipeline of potential transactions for owners seeking to divest older tonnage. Based on current market dynamics, it is projected that an additional three to five vessel sales may be finalized shortly.

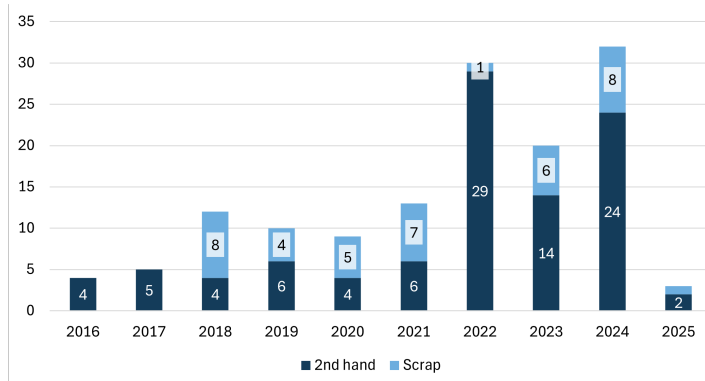
One trend among market participants is an increased focus on strategic timing for tonnage acquisition, largely attributed to the ongoing and forecast soft chartering market, particularly for older vessels. The lack of chartering opportunities is applying downward pressure on price expectations, leading to careful consideration of market entry points for potential buyers.

The market outlook remains cautiously optimistic, though. Activity in recent months suggests a healthy demand for vessels despite the challenges. The expected sale of more vessels in the near future supports this optimism. Stakeholders must stay vigilant and adaptable to navigate the complexities of market timings and price expectations in order to capitalize on emerging opportunities.

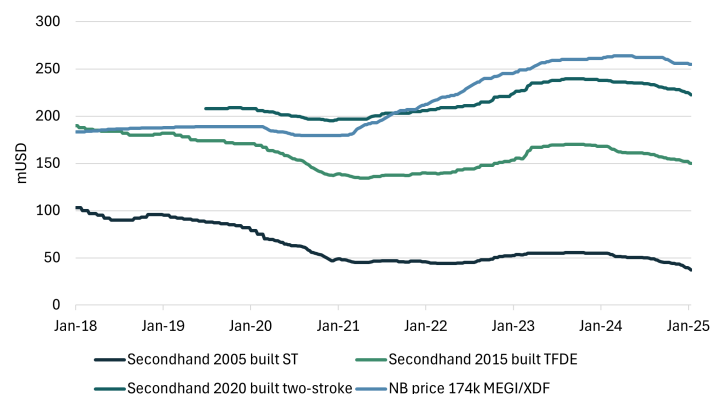
Recent sales

Vessel name	Year of build	Sale price (\$Mn)	Capacity (CBM)	Seller	Buyer
Golar Arctic	2004	23	140,000	Golar	Soechi
Ibri LNG	2006	29	145,000	Oman LNG	
Hyundai Greenpia	1996	19	128,000	H-Line Shipping	Scrap
HL Pyeongtaek	1995	13.8	130,600	H-Line Shipping	Scrap
Puteri Intan	1994	RnR	130,400	MISC	Crowley
Samsung 2318	2027	248	174,500	Sinokor	TMS Cardiff
Samsung 2317	2027	248	174,500	Sinokor	TMS Cardiff
Samsung 2316	2027	248	174,500	Sinokor	TMS Cardiff
Alto Acrux	2008	42.3	147,200	NYK	Karadeniz

Yearly sales



Asset values



Newbuilding update

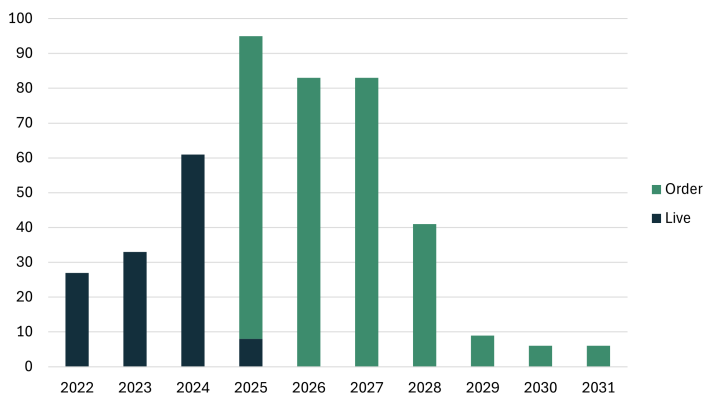
The newbuilding market in general has started the year with a lack of inertia, in stark contrast to the container sector's continued activity. Across most segments, a "wait-and-see" stance prevails, with shipyards, owners, and charterers all showing caution. This uncertainty has widened the gap in pricing between yards, reflecting their varying levels of slot

availability and risk appetite. Aside from notable orders from Celsius at SHI and Hanwha Shipping at their own facility, both order books and inquiry pipelines remain notably subdued.

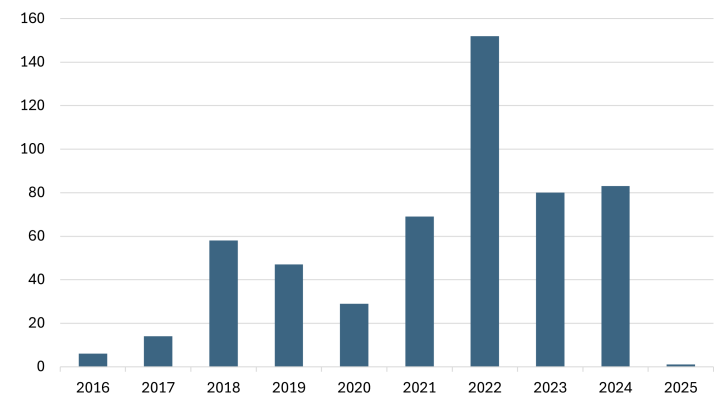
Recent orders

Number of vessels	Earliest delivery	Latest delivery	Owners	Yard	Ordered	NB price (mUSD)	Capacity	Propulsion
1	01/06/2027	01/06/2027	Celsius Shipping	Samsung	20/01/2025	261.5	180,000	XDF
2	01/01/2027	01/04/2027	MISC	Samsung	01/12/2024	257.0	174,000	XDF
2	01/08/2027	01/12/2027	Maran Gas Maritime	Hanwha Ocean	05/11/2024	255.0	174,000	MEGI
1	01/06/2027	01/06/2027	K-Line	Samsung	31/10/2024	259.0	174,000	XDF
4	01/06/2028	01/10/2028	ADNOC	Hanwha Ocean	01/10/2024		174,000	XDF
2	01/08/2028	01/10/2029	Shandong Marine	Hudong-Zhonghua	01/10/2024		270,000	XDF
2	01/07/2027	01/10/2027	COSCO	Dalian	13/09/2024	243.8	175,000	XDF

Deliveries incl. orderbook



LNGC orders

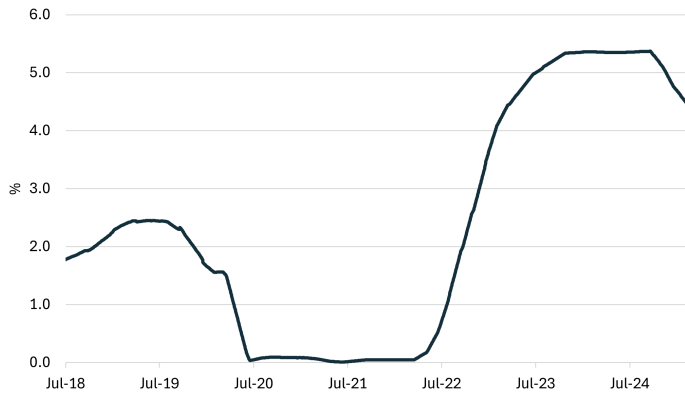


Interest rates

The flurry of activity seen since inauguration of the 47th president of the United States has had its effect on interest rates, as key benchmarks have trended lower. The implications of a potential increase in trade barriers and a more uncertain geopolitical environment is challenging the fundamental outlook on global growth, which the credit markets rapidly translate into lower interest rates.

A number of central banks have already commenced interest rate cuts (US, Eurozone), and while still citing inflation as the "guiding star" it feels as if growth prospects may become a central theme in the near-term. Of course, in the case of slower growth we can only hope that inflation tails off too, as market pundits have begun to whisper about stagflation scenarios. While our last comment included Mr. Powell's wait-and-see attitude, the sentiment seems to be more action than inaction these days and as such it would not be a surprise if we see a further slide interest rates.

Interest rate (90 day avg. SOFR)



Source: FRED

10-Year Treasury Constant Maturity Minus 2-Year Treasury Constant Maturity



Recycling

2025 is expected to see a larger pool of candidates vessels being considered for recycling, and we seem to have started the year where we ended 2024. One vessel has already been sold for recycling and we expect to see one or two go in the coming weeks. It is interesting to note that the recycling yards are also becoming very focused on the disposal of hazardous materials, which we are led to believe has created significant challenges to the seller of the tonnage. Levels seem to be holding slightly higher than what we are seeing reported from the cash buyers for the reference market of Wet, which have all fallen over the first two months of the year. The largest drop so far in 2025 seem to be in Turkey where the reported prices are down by almost 15%. At present, buyers are indicating delivery Indian sub-continent at around US\$ 500/ltd, which is US\$ 40-60/ltd higher due to their premium as LNG vessels. The big question will be when will the cash buyers start to create an LNG pricing index?

Bangladesh US\$ 460/470

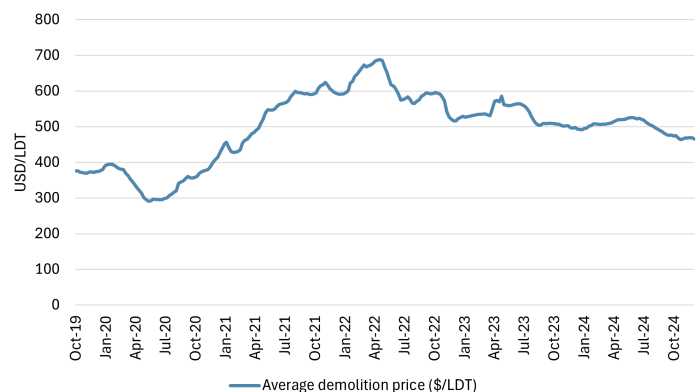
Pakistan US\$ 455/465

India US\$ 455/465

Turkey US\$ 285/295

Source: Baltic Exchange

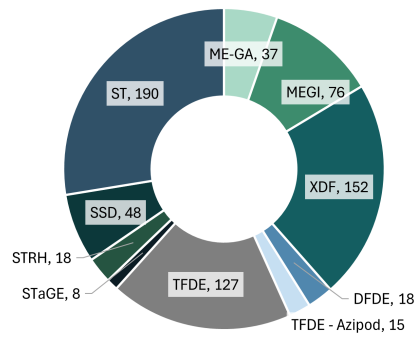
Demolition price (large tanker)



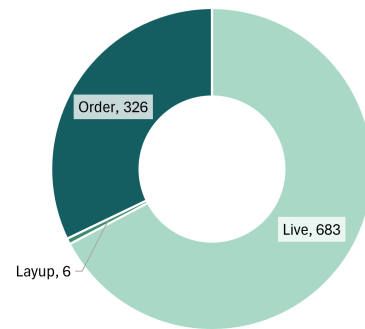
World fleet at a glance



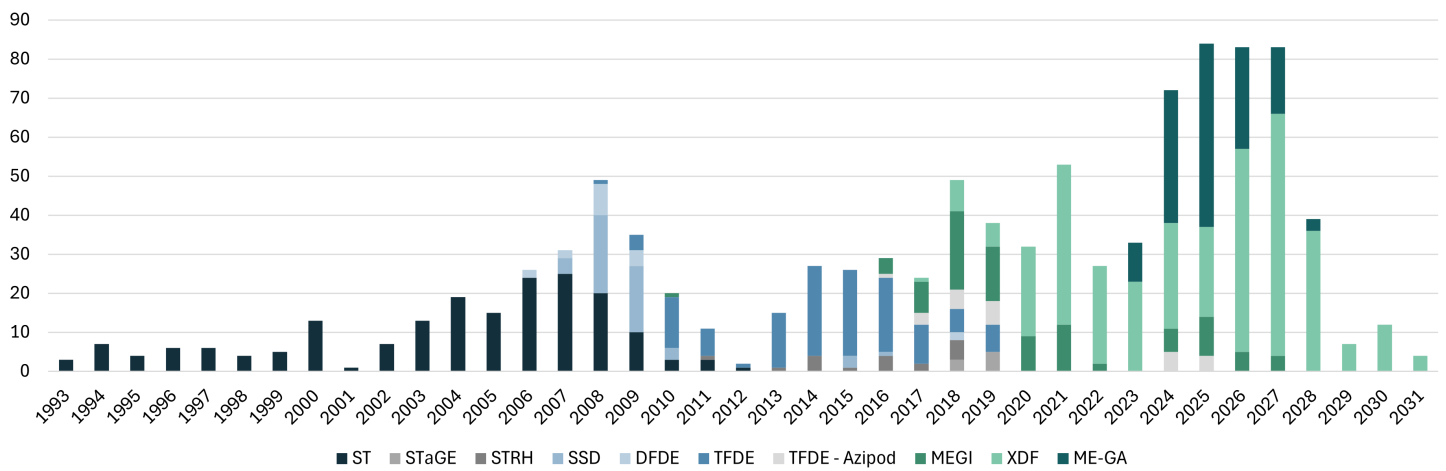
Live fleet by propulsion



Total fleet



LNGC fleet by propulsion and delivery year





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